

FSCA Test Directive 240.A.i - Operational Resilience and Outsourcing

Synthetic test document for obligation extraction. This is not an official FSCA directive.

1. Purpose

1. This directive sets expectations for governance, risk management, monitoring and reporting of material outsourcing arrangements by licensed financial institutions.

1.1 The directive is intended to strengthen operational resilience where regulated activities are performed by third parties or service providers.

2. Application and scope

2. This directive applies to licensed financial institutions that outsource a material function, control activity, technology process or regulated service.

2.1 The institution must maintain a board-approved outsourcing policy covering material outsourced functions.

2.2 The policy must identify each material outsourced function and classify it by criticality, risk rating and business owner.

2.2.1 The institution must keep evidence that the classification was reviewed before onboarding the service provider.

3. Governance requirements

3. The board must approve the outsourcing risk management framework at least annually.

3.1 The institution must assign a senior accountable owner for each material outsourcing arrangement.

3.2 The accountable owner must maintain oversight evidence, issue logs and management actions for the arrangement.

4. Due diligence

4. The institution must complete due diligence before entering into a material outsourcing arrangement.

4.1 Due diligence must assess financial soundness, information security, business continuity, subcontracting risk and data location.

4.2 Due diligence results must be documented and approved before contract signature.

5. Register and regulatory reporting

5. The institution must maintain a central register of all material outsourcing arrangements.

5.1 The register must include service provider name, outsourced function, risk rating, business owner, contract start date and review date.

5.2 The institution must notify the FSCA within 10 business days of a significant disruption affecting a material outsourced function.

6. Monitoring and assurance

6. The institution must monitor service provider performance and control compliance on at least a quarterly basis.

6.1 The institution must perform an annual independent review of material outsourcing controls.

6.2 Monitoring results must be reported to the risk committee with corrective actions where weaknesses are identified.

7. Exit planning

7. The institution must maintain and test an exit plan for each material outsourcing arrangement.

7.1 The exit plan must identify transition steps, alternate providers, data return requirements and customer impact controls.

8. Effective date and background

8. This directive is effective from 1 April 2026 and replaces prior guidance issued for outsourcing oversight.

8.1 This section provides background context and does not create an additional implementation requirement beyond the obligations listed above.